

Mediterranean Fast-Casual Growth Strategy

2025 MBA World Cup Case Competition | Team 25



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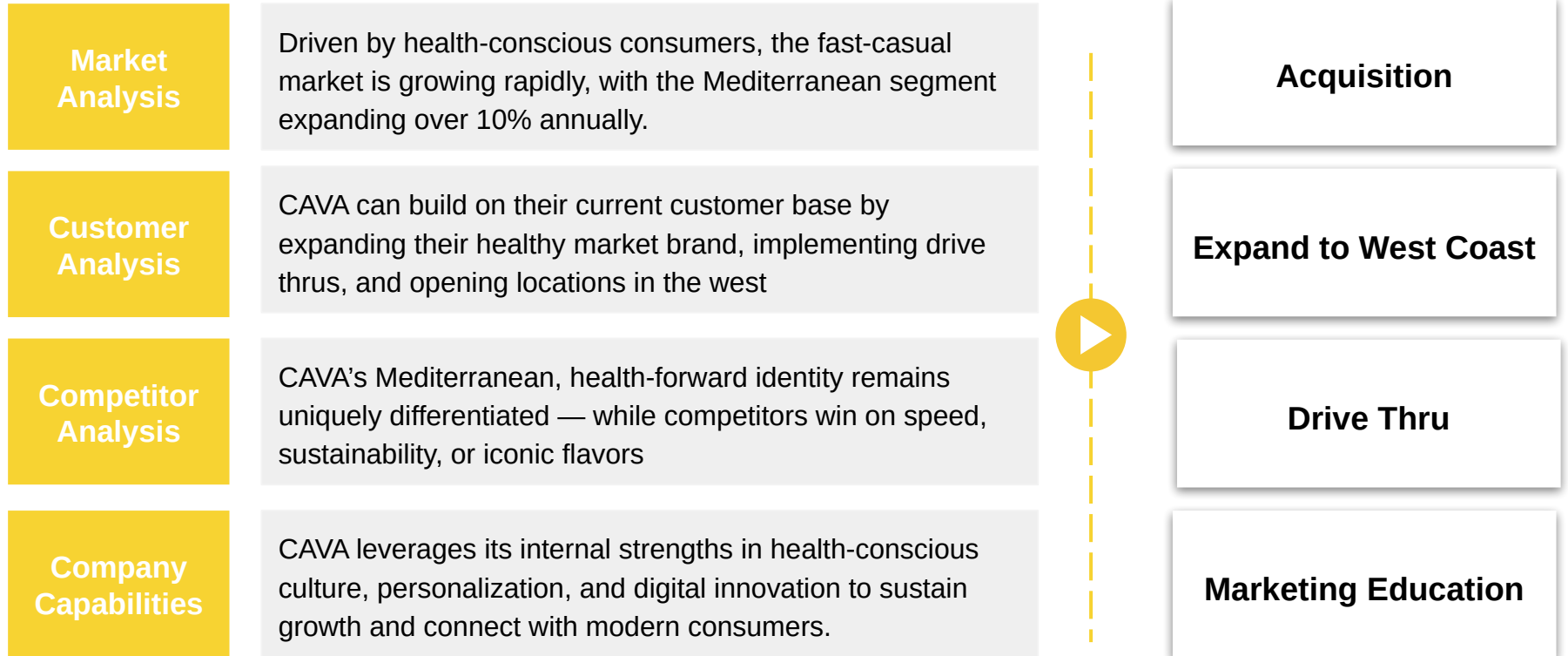
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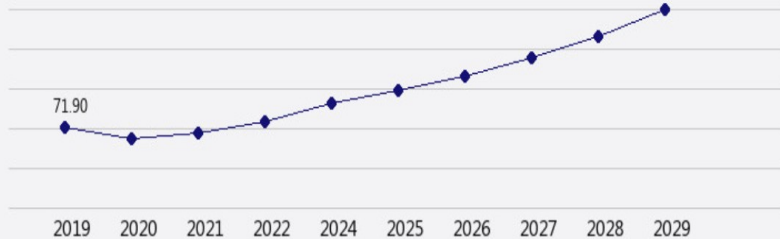


Fueling CAVA's Growth: Expand, Integrate, and Educate for a Stronger Future



Trends Leaning Towards High-Quality Ingredients, Locally Sourced Produce, and Fresh Food

Fast Casual Restaurants Market Size in US 2025-2029 (US\$ Billion)



11.8%
2025 Year-over-Year



ACCELERATING
Growth Momentum



13.7%
CAGR 2024-2029



US\$ 84.5 Bn
Incremental Growth
between 2024-2029

source: www.technavio.com

10.8%
CAGR

Global Mediterranean Fast Casual market size is valued at **USD 14.2 billion** in 2024, with a robust compound annual growth rate (**CAGR**) of **10.8%** projected from 2025 to 2033.

\$33.4
Billion

Mediterranean industry revenue has grown at a **CAGR of 3.0 %** over the past five years, to reach an estimated **\$33.4 billion** in 2025.

\$318.52
Billion

The *global fast casual restaurants* market size was valued at **USD 179.19 billion** in 2024 and is projected to reach from **USD 191.02 billion** by 2025 to **USD 318.52 billion** by 2033, growing at a CAGR of **6.6%** during the forecast period (2025–2033).

8.9%
CAGR

North America is the most significant global fast-casual restaurant market shareholder and is estimated to rise at a **CAGR of 8.9%** over the forecast period.

Expanding the Customer Base



Customers

- Primarily **25-45** years old
- Want **convenient quality** meals at a **lower price**
- Value options for **health** and **dietary needs**
- CAVA Rewards



2024/2025 Trends

- Spending on FAFH (Food Away from Home) **increased**
- 69% say it's **hard to afford** healthy food



Drive-Thru

- Digital orders, drive-thrus, and website orders account for **62%** of all QSR transactions
- Value convenience



West Coast

- **Diverse** states
- Home to large **Urban Areas**: San Francisco, Portland, Seattle
- Leading Tech hubs

Positioning CAVA Amid Intensifying Fast-Casual Competition

				
Main Location	East and Southeast	California and Texas Northeast and Midwest	California and New York	Northeast, Texas, and California
Branch	300+	3,500+	280	100+
Menu Offering	Mediterranean bowls	Burritos, bowls, tacos	Salads and grain bowls	Middle Eastern fusion
Average Price	\$13 - \$16	\$15 - \$18	\$16 - \$20	\$12 - \$16
Brand Feature	• Mediterranean health-forward concept • Vibrant, flavorful sauces & dips	• Fast assembly-line service • Strong nationwide presence • Large portion size	• End-to-end supply chain • Sustainability focused • Seasonal & locally sourced ingredients	• Iconic white/red sauces • Big portions and Platter-centric menu • Late-night go-to spot

CAVA's Formula for Modern Growth : Health, Customization, and Digital Innovation

Health-Conscious Consumers "Wellness as a Lifestyle"

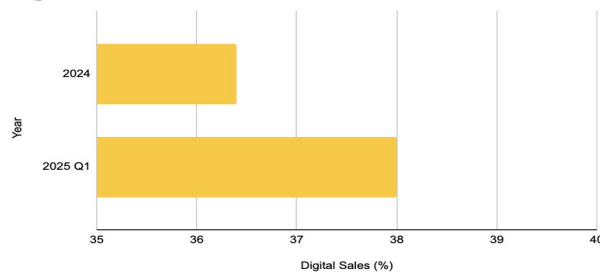
- Gen Z sees health as **self-care and identity**
- Transforms the Mediterranean diet into **stylish wellness culture**, offering natural ingredients like Greek yogurt & olive oil

Customization "My Bowl = My Trend"

- **17.4B+ possible combinations** through *walk-the-line* system
- Fits **vegan, vegetarian, and keto** lifestyle
- Each *My Bowl* reflects one's **lifestyle, values, and identity**

Digital Engagement

Digital Sales Growth



- Digital sales up from 36.4% to **38% (Q1 2025)**
- **Mobile-first experience** enables faster, smoother turnover

The C.A.V.A. Implementation

Year 1: Capitalize



- **Sweetgreen Acquisition**
- **Strengthen supply chain** in Pacific Northwest area
- "Fresh and Healthy" **storytelling** leveraging SG brand

Year 2: Activate



- Begin SG conversions and pilot **new West Coast areas**
: SF, Seattle, Portland
- "Fast and Healthy" **Drive-thrus** and pilot **drive-thru-only**
- "CAVA is a Lifestyle" **GenZ** social media marketing and partnership with sports brand (Lululemon, Alo)

Year 3-4: Velocity



- **SG Full conversion** (+280)
: Bay Area, WA, ID, WI, MI, OH
- **Scale drive-thru** locations
- "CAVA Collab" with celebrities
: Katseye, K-Pop
expand **Gen-Z + Gen-A**

Year 5: Achieve



- **National footprint**, on track to meet 1000+ by 2032
- Enhance Mediterranean authenticity, operational excellence, strong unit economics
- CAVA is the title of **"Modern Mediterranean lifestyle"**